

**MINUTES OF THE PROCEEDINGS OF THE BUDGET CONSULTATIVE
STAKEHOLDERS MEETING HELD IN THE COUNCIL CHAMBER, CIVIC
CENTRE, 14TH STREET, LUANSHYA ON WEDNESDAY 6TH DECEMBER 2023, AT
09:50HOURS.**

PRESENT

Mrs. Karen M Sikalangwe	-	Director HR& Administration
Mr. Field Sikanyika	-	Director Housing and Social Services
Mr. David Silwamba	-	Acting Director of Finance
Mrs. Chatiwa A Nsandula	-	Director of Public Health
Mrs. Naomi Simwanza	-	Director of Development Planning
Mr. Rutherford Nduli	-	Director of Engineering Services
Ms. Tabo Siyoto	-	Director Legal Services
Mr. Jacob Ng'ambi	-	District Director of Health
Mr. Thomas Banda	-	District Fisheries and Livestock Coordinator
Ms. Sera Mwila	-	District Social Welfare Officer
Mr. Thole Gideon	-	Assistant Public Relations Manager
Mr. Kampamba S Pocius	-	Acting Senior Committee Clerk
Mr. Gershom Chomba	-	Assistant Committee Clerk
Mr. Matthew Mtonga	-	Chief Accountant
Mr. Moses Lukwesa	-	Chief Accountant
Mr. Humphrey Lutangu	-	Public Works and Supply
Mr. Lenon Mutale	-	Clinical Care Assistant
Mrs. M Ngosa	-	Once Stop Centre
Mr. Fredrick Musonda	-	Mikomfwa WDC Secretary
Mr. K Siwakwi	-	Buteko WDC Secretary
Mr. Sydney Chileya	-	Public Relations Manager – LCM
Mr. Peter Mulenga	-	Taxis and Bus Association Representative
Proff Shelly Coleman	-	CDF Chairperson Luanshya Central
Mr. Basil Mulenga	-	CDF Chairperson Roan

APOLOGIES

Mr. Zakeyo Mbao	-	Town Clerk
-----------------	---	------------

PRAYER

Prior to the commencement of the meeting Mr. Humphrey Lutangu led members present in an opening prayer.

LMC/BCSM/01/12/23

NOTICE OF THE MEETING

The notice convening the meeting was read by the Acting Director Finance and it was taken as read.

LMC/BCSM/02/12/23

APOLOGIES FOR ABSENCE:

No apologies recorded from the members.

LMC/BCSM/03/12/23

REMARKS BY TOWN CLERK

The Acting Director Finance made remarks on behalf of the Town Clerk. He informed the members that Luanshya Municipal Council was earmarked to prepare the Output Based Budget in line with the Budget Guidelines received from the Ministry of Local Government and Rural Development. In light of the aforementioned guidelines it was a requirement that the Council held a consultative meeting with stakeholders in the District to appreciate the activities line up in the budget and have inputs to the budget making process.

He, further informed the members that the input from relevant stakeholders would result in a comprehensive budget estimates of revenue and expenditure accommodating views of the district. In the same vein, the Acting Director Fiance informed the members that the Budget would be a yardstick to measure performance of the Council as regards its mandate of service provision. Therefore, the Town Clerk urged the members to contribute fully in the deliberations.

Thereafter the matter was NOTED.

**REPORT OF THE DIRECTOR OF
FINANCE**

LMC/BCSM/04/12/23

2024 BUDGET ESTIMATES

The Chief Accountant presented the 2024 Budget Estimates to the stakeholder for perusal. The Chief Accountant indicated that the Budget had been prepared in line with the *Local Government Act No. 2 of 2019 under Section 41* which states that “A local authority shall cause to prepare an annual budget in accordance with the National Planning and Budget Act, 2018”.

The Chief Accountant reported that Luanshya Municipal Council is mandated to provide operational and service excellence through innovations, community engagements and observance of good financial management and accountability. In agreement with the *Republican Constitution (Amendment) Act No.2 of 2016 Part IX on the System of Devolved Governance [Article 147 (2)] and Part XI on the System of Local Government*. Luanshya Municipal Council will fulfill its mandate and meet the outlined objectives through the implementation of fifteen (15) programs, as shown in the attached detailed budget.

The Chief Accountant reported that the Council had initiated the budgeting for the year 2024, which consisted two sections namely Revenue and Expenditure.

Consequently, the Chief Accountant presented the Budget Estimates of Revenue and Expenditure as follows:

REVENUE

The Chief Accountant indicated that Management had proposed Budget Estimates for the year 2024 which stands at K153.9 million, which is 15 percent more than the 2023 budget which is K133.8 million, the increase has been made with regard to the anticipated increased revenue to be generated from property rates, land charges and permits.

He informed stakeholders that the updated 2022 Main Valuation Roll will be a major own source of revenue in the 2024 estimates together with Government

support in form of Local Government Equalization Fund, devolved functions grants, Roads grant and Constituency Development Fund.

In the same vein, the Chief Accountant reported that the constituency Development Fund had increased from K28.3 million to K30.6 million per constituency which translated to nine 9 percent increase.

The table below shows the summary of revenue:

Revenue Item	Actual 2023	Proposed 2024	Per
001 Local taxes/rates	51,101,419.00	53,579,487.00	5%
002 Fees and Charges	7,485,915.00	5,873,596.00	-22%
003 Licenses	320,300.00	487,200.00	52%
004 Levies	1,250,000.00	883,594.00	-29%
005 Permits	1,204,210.00	1,905,050.00	58%
006 Charges	1,765,000.00	4,062,560.00	130%
007 Other Incomes	551,200.00	398,140.00	-28%
008 National Support (Grants)	13,587,228.00	25,531,611.00	88%
009 Local Development Fund	56,627,804.00	61,271,284.00	8%
Total	133,893,076.00	153,992,522.00	15%

Consequently, the Chief Accountant informed the stakeholders on the following measures culminating into enhancement of revenue base for the Council:

- 1. Operationalize of the Baluba Motel.*
- 2. Automation of the revenue management system to improve collection efficiency*
- 3. Introduction of bulk SMS in the distributions property rates bills*
- 4. Engagement of WDC as revenue agents at various revenue sources such as market fees, property rates and other revenues.*

Further, the Chief Accountant presented to the stakeholders the proposed expenditure as reported hereunder: -

EXPENDITURE

The Stakeholders were informed that the budget allocation by Economic Classifications showed that K49.8 million representing K32.4 percent had been allocated to Assets under the Constituency Development Programme. In addition, the Chief Accountant informed the stakeholders that K41 million representing 26.6 percent would be channeled towards Personal Emoluments to cover the payment of salaries of Council Employees and Councilors Monthly allowance

Further, Chief Accountant informed the meeting that Subsidies to Non-Financial Enterprises had been allocated K11.6 million representing 7.6 percent of the budget for Skill Development and Secondary School Bursaries, Financial Assets had been allocated K7.3 Million representing 4.7 percent to cover empowerment Loans under CDF and Liabilities had been allocated K7 Million representing 4.6 percent to cover payment of Liabilities such as Terminal Benefits, Long Services and other statutory obligation like NPSA, NHIMA, PAYE and union due. Subsequently, the stakeholders were informed that Grants and Other Payments (Transfers) had been allocated K4.6 million representing 3 percent of the budget to cover the payment of grant empowerment.

The summary breakdown is shown in the table below: -

Expenditure Item	Proposed 2024	%
Personal Emoluments	41,037,065	26.6%
Goods and Service	32,409,993	21.0%
Grants and Other Payments (Transfers)	4,656,618	3.0%
Subsidies to Non-Financial Enterprises	11,641,544	7.6%
Non-Financial Assets	49,858,728	32.4%
Financial Assets	7,304,926	4.7%
Current Liabilities (Payable within one year)	7,083,648	4.6%
Total	153,992,522	100.0%

Therefore, the Chief Accountant informed the meeting that the 2024 Budget Summary estimate for Luanshya Municipal Council was standing at K153.9 million as compared to K133.8 million for the financial year 2023. The Stakeholders were informed that this shows a percentage increase of 15 percent which was mainly attributed to the increase in constituency development fund from K28.3 million to K30.6 million and the approval of the new valuation roll.

A thorough perusal of the Budget ensued and thereafter it was

RESOLVED THAT

The 2024 Luanshya Municipal Council Budget Estimates be considered subject to the Council prioritizing revenue to service provision amid other competing activities.

Having Exhausted the business on the agenda, the meeting was declared closed at 16:45hours, after a prayer by Mr. Thomas Banda.

SIGNED THIS 08TH DAY OF DECEMBER 2023

A handwritten signature in blue ink, consisting of a stylized 'D' followed by a horizontal line and a small flourish at the end.

CHAIRPERSON